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FEDERAL MARITIME COMMISSION

DOCKET NO. 06-01

Worldwide Relocations, Inc., All-in-One Shipping, Inc., Boston Logistics Corp., Around the World Shipping, Inc., Tradewind Consulting, Inc., Global Direct Shipping, Megan K. Karpick (a.k.a. Catherine Kaiser, Kathryn Kaiser, Catherine Kerpick, Megan Kaiser and Alexandria Hudson), Martin J. McKenzie, Patrick John Costadoni, Elizabeth F. Hudson, Sharon Fachler, and Oren Fachler, et al. -- Possible Violations of Sections 8, 10 and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21 and 520.3

RESPONDENT, PATRICK JOHN COSTADONI, RESPONSE TO BUREAU OF ENFORCEMENT PROPOSED FINDINGS OF FACT AND RESPONDENT'S PROPOSED FINDINGS OF FACT, SUPPORTING EVIDENCE AND BRIEF

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A. RESPONDENT, PATRICK JOHN COSTADONI, RESPONSE TO BOE'S PROPOSED FINDINGS OF FACT PERTAINING TO PATRICK JOHN COSTADONI

1. Worldwide Relocations, Inc. ("WWR") was established as a Florida profit corporation on February 3, 2003. Its original director and president was Lucy Norry, although she was named as president initially to conceal the true ownership of the company. Patrick Costadoni became the President of WWR on July 2, 2004, and Lucy Norry became its treasurer. However, Patrick Costadoni was in control of the day to day operations of WWR and took distributions from the corporation's profits as owner. Patrick Costadoni investigated applying for an NVOCC license with his father as the qualified individual. (BOE App. 3; BOE App. 4, Request for Admissions No.1 and 2; BOE App. 5, Deposition of Patrick Costadoni, Page 50, Line 5 to Page 51, Line 24, Page 90, Line 19, Line 19 to Line 24, Page 112, Line 11 to Line 16, Page 91, Line 14 to Page 93, Line 22).

ADMIT

2. A review of WWR's website in November 2004 showed WWR advertised itself as an international moving company" offering port to port door to door services through their "international agents". Patrick Costadoni designed WWR's website and was responsible for its content. (BOE App. 2, ¶ 1; BOE App. 5, Deposition of Patrick Costadoni, Page 79, Line 16 to Page 82, Line 13; BOE App. 8).

ADMIT

3. WWR Provided door to port and door to door services to its customers, who were primarily individuals relocating from the U.S. to a foreign country who hired WWR to ship their household goods, personal effects and vehicles. Copies of documents in

WWR's files show that WWR issued moving contracts to many of its customers

4. promising to provide transportation to a foreign destination and issued invoices charging their customers a different amount (generally more) than they were charged by the NVOCC with whom they contracted. WWR's shipment files also show WWR contracted for inland transportation when necessary to complete the shipment and provided marine insurance and other services for its customers. (BOE App 10, e.g. P. 000417-000428, P. 000468-P000478, P. 000611-000630, P. 000839-000846).

ADMIT

5. WWR maintained an internet website and solicited business through its website and other internet portal sites. WWR also paid third parties for sales leads. WWR offered services in its own name and did not hold itself out as agents for any other entity. (BOE App. 5, Deposition of Patrick Costadoni Page 79, Line 16 to Page 92, Line 13, Page 63, Line 24 to Page 64, Line 2, Page 167, Line 5 to Line 9; BOE App. 8).

ADMIT

6. Most shippers would contact WWR via the internet and request a quote. Based on **information** received from the shipper, WWR provided door-to-door, port-to-port or door-to-port quote. The majority of WWR's contact with its customers was via e-mail and telephone. The quote generally comprised all services including ocean freight, marine insurance, port fees, line haul charges and export/import documentation fees. (BOE App. 10).

ADMIT

7. Based on the documentation in WWR's shipment files, WWR profited by charging its

customer a figure more than the actual ocean freight charged by the servicing NVOCC and by marking up the other services it provided including other multimodal transportation, packing, and insurance charges. WWR invoiced the shipper for the shipment, generally requiring payment in full in advance, usually via an electronic deposit, check-by-phone or credit card. WWR booked the cargo with licensed NVOCCs and often made the arrangements for local movers to pick up the goods. If WWR was to provide door delivery at destination, the WWR made arrangement with a destination agent or other company for delivery. (BOE App. 10).

ADMIT

8. The NVOCC issued a bill of lading to WWR under the name of WWR, under the name of the WWR customer c/o WWR or in the name of the customer with Respondents' (WWR) address. The rated copy of the bill of lading from the NVOCC often served as an invoice to WWR or a separate invoice was issued. The NVOCC would look to WWR and not the proprietary shipper for payment of the invoiced amount. (BOE App. 10 E.g. P. 000382-284, P. 000429-000431, P. 000537-000544, P. 000594-000596, P. 000826-828).

ADMIT

9. WWR's customers did not deal directly with the NVOCCs who were involved in the shipment of their cargo and many did not know another entity was involved in their shipment. In the case of some shipments, the NVOCC did not know the identity of WWR's customer. Patrick Costadoni described WWR as a shipping company in relation to an NVOCC. If WWR failed to pay the NVOCC for the ocean freight, the NVOCC often would refuse to initially deal or provide information to WWR's

customer without a release from WWR. (BOE App. 1, ¶¶4, 5, 10; BOE App. 5, Deposition of Patrick Costadoni, Page 131, Line 12 to Page 132, Line 10; BOE App. 10).

ADMIT

10. WWR operated as an NVOCC for at least 280 shipments of household goods from the United States to foreign countries between February, 2004, and May, 2005. Patrick Costadoni estimates that WWR handled 300 to 400 shipments in their first year of business and approximately 1200 shipments total. The Commission's Office of Consumer Affairs and Dispute Resolution Services ("CADRS") received 154 complaints by shippers against WWR. The complaints involved claims WWR failed to deliver the cargo and refused to return the pre-paid freight or failed to pay the common carrier engaged by WWR. The complaints involved claims that WWR failed to deliver the cargo and refused to return the pre-paid freight or failed to pay the common carrier engaged by WWR. In many cases, the shipper was forced to pay another carrier or warehouse additional monies in order to have the cargo released. Patrick Costadoni estimated that 60-70 shipments were left stranded by WWR. (BOE App 1, ¶3 and 10; BOE App. 5, Deposition of Patrick Costadoni, Page 63, Line 18 to Line 23, Page 79, Line 2 to line 15, Page 104, Line 7 to Page 105, Line 11; BOE App. 10, e.g. 000469-000478, P. 000550-000561, P. 000698-706).

ADMIT

B. RESPONDENT, PATRICK JOHN COSTADONI, PROPOSED FINDINGS OF FACT PERTAINING TO PATRICK JOHN COSTADONI

1. Corporate documents were drawn up by a lawyer for WWR were filed with the state of Florida and a bank account was opened in the corporation's name. Corporate

documents were subsequently filed for WWR with the Florida Department of State in compliance with state requirements. (BOE App. 5, Deposition of Patrick Costadoni, Page 50, Line 16 to Line 21. Page 54, Line 11 to Line 15).

2. WWR retained a non-full service bookkeeper and an accounting firm who handled bill payments and corporate filings. (BOE App. 5, Deposition of Patrick Costadoni, page 90 Line 24 to Page 91 Line 1).
3. Respondent, Patrick John Costadoni, took corporate distributions as an owner and later was a salaried employee. Corporate charge cards were issued for the corporations and only utilized for corporate expenses. (BOE App. 5, Deposition of Patrick Costadoni, Page 112 Line 13 to Line 25).

C. BOE HAS NOT PROVIDED EVIDENCE TO PIERCE THE CORPORATE VEIL MAKING RESPONDENT LIABLE FOR VIOLATIONS OF THE SHIPPING ACT

1. There is no evidence that Respondent, Patrick John Costadoni, individually was operating as an NVOCC in violation of the Shipping Act of 1984

The standard of proof in an administrative proceeding is to show by a preponderance of the evidence that something in fact has occurred. Portman Square, Ltd. – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984, 28 SRR 80, 84 (1998). “The preponderance of the evidence standard, which is also the usual standard applying in civil cases before the court, is a qualitative, not merely a quantitative standard, and means that the evidence makes the existence of a fact more probable than not.” William R. Adair v. Penn-Nordic Lines, Inc., 26 SRR 11, 15 (I.D. 1991). Findings of fact which are supported by “substantial evidence on the entire record” are sufficient. Capital Transit Co. v. U.S., 97 F.Supp. 614, 621 (D.C. 1951). “Substantial evidence” is “such relevant evidence as a reasonable mind might accept as adequate to support a conclusion.” Consolo v. Federal Maritime Commission, 383 U.S. 607, 620 (1966).

In this case, BOE has not provided any evidence that Respondent, John Patrick Costadoni, individually was operating as an NVOCC in violation of the Shipping Act. Quite to the contrary, WWR was a separate corporation which complied with the requirements under Florida law for the filing of corporate paperwork and established separate corporate bank accounts and credit cards. (PFF 3). Furthermore, WWR retained separate companies to handle bookkeeping, payment of bills, and corporate filings. WWR also had around thirteen employees. (PFF 3). The evidence provided by the BOE clearly does not demonstrate that Respondent, Patrick John Costadoni, individually operated an NVOCC.

2. Individual Respondent, Patrick John Costadoni, should not be held liable under a piercing of the corporate veil theory

In this matter, the ALJ has determined that national uniformity demanded by the Shipping Act is essential to the determination of the liabilities of persons involved in the operation of ocean transport intermediaries. Memorandum and Order on Pending Motions to Dismiss the Order of Investigation of the Bureau of Enforcement, served March 23, 2009, at page 3. Where the federal statute in question demands national uniformity, federal common law provides the determinative rules of decision. Brotherhood of Locomotive Engineers v. Springfield Terminal Railway Co., 210 F.3d 18, 26 (1st Cir. 2000), cert. denied, 531 U.S. 1014 (2000).

Federal common law recognizes the corporate piercing doctrine. The federal common law alter ego rule requires that three elements be proved in order to pierce the corporate veil:

“(1) Control, not mere majority or complete stock control, but complete domination, not only of finances, but of policy and business practices in respect to the transaction attacked so that the corporate entity as to this transaction had at the time no separate mind, will, or existence of its own; and (2) Such control must have been used by the defendant to commit fraud or wrong, to perpetrate the violation of a statutory or other positive legal duty, or a dishonest and unjust act in contravention of plaintiff’s legal rights; and (3) The aforesaid control and breach

of duty must proximately cause the injury of unjust loss complained of.” United Steel Workers of America, AFL-CIO-CLC v. Connors Steel Co., 855 F.2d 1499, 1506 (11th Cir. 1988), cert. denied, 489 U.S. 1096 (1989).

In our present case, the evidence substantiates the fact that Respondent, Patrick John Costadoni, did not exercise the control necessary to pierce the corporate veil. WWR retained separate companies to handle bookkeeping, payment of bills, and corporate filings. WWR also had around thirteen employees. (PFF 3). Furthermore, Respondent, Patrick John Costadoni, delegated control of many day to day business decisions to the WWR employees. (PFF 3).

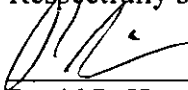
Notwithstanding the elements for piercing the corporate veil noted above, some Federal Courts have allowed the piercing of the corporate veil in the interest of justice. “It is well settled that the fiction of the corporate entity must be disregarded whenever it has been adopted or used to circumvent the provisions of a statute.” Casanova Guns, Inc. v. Connally, 454 F.2d 1320 (7th Cir. 1972). In Casanova the court pierced the corporate veil of one corporation controlled by a convicted felon who was ineligible for a firearms license. The BOE has not made any allegations or presented any facts that Respondent, John Patrick Costadoni, at any time attempted to circumvent the provisions of a statute.

The corporate veil has also been pierced in areas where the corporate device is used to defraud creditors, create a monopoly, circumvent a statute or for other similar reasons. Ariel Maritime Group, Inc., Order Adopting in Part, Reversing in Part, and Supplementing Initial Decision, 24 SRR 517, 530 (FMC, 1987). Again the record before the commission is devoid of any facts which substantiate the use of the corporate entity by Respondent, Patrick John Costadoni, to defraud creditors, create a monopoly or circumvent any statutes. Under the facts presented by the BOE, the corporate veil cannot be pierced to create individual liability upon Respondent, Patrick John Costadoni.

D. CONCLUSION

Respondent, Patrick John Costadoni, respectfully requests that the Administrative Law Judge issue a decision that Respondent, Patrick John Costadoni, individually did not violate Sections 8 and 19 of the Shipping Act, and provide any other relief deemed just and proper.

Respectfully submitted,



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Dated September 30, 2009

CERTIFICATE OF SERVICE

I hereby certify that on this 30th day of September, 2009, a copy of the foregoing was served upon all the parties of record by first class mail or electronic mail where indicated.



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FEDERAL MARITIME COMMISSION

DOCKET NO. 06-01

Worldwide Relocations, Inc., All-in-One Shipping, Inc., Boston Logistics Corp., Around the World Shipping, Inc., Tradewind Consulting, Inc., Global Direct Shipping, Megan K. Karpick (a.k.a. Catherine Kaiser, Kathryn Kaiser, Catherine Kerpick, Megan Kaiser and Alexandria Hudson), Martin J. McKenzie, Patrick John Costadoni, Elizabeth F. Hudson, Sharon Fachler, and Oren Fachler, et al. -- Possible Violations of Sections 8, 10 and 19 of the Shipping Act of 1984 and the Commission's Regulations at 46 C.F.R. §§ 515.3, 515.21 and 520.3

RESPONDENT, PATRICK JOHN COSTADONI, APPENDIX

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BOE App. 5

FEDERAL MARITIME COMMISSION

COPY

DOCKET NO. 0601

Worldwide Relocations, Inc., All-in-One Shipping, Inc.
Boston Logistics Corp., Around the World Shipping, Inc.
Tradewind Consulting, Inc., Global Direct Shipping,
Megan K. Karpick (a.k.a. Catherine Kaiser, Kathryn
Kaiser, Catherine Kerpick, Megan Kaiser and Alexandria
Hudson, Martin J. McKenzie, Patrick John Costadoni
Elizabeth F. Hudson, Sharon Fachler, and Oren Fachler,
et, al.

Possible Violations of Sections 8, 10 and 19 of the
Shipping Act of 1984 and the Commission's Regulations
at 46 C.F.R. 515.3, 515.21 and 520.3

August 29th, 2006

Fort Lauderdale, Florida

10:55 - 2:35 o'clock a.m.

DEPOSITION

OF

PATRICK J. COSTADONI

RECEIVED
2006 SEP 16 AM 12:23
BUREAU OF
ENFORCEMENT

000173

1
2 APPEARANCES:

3 FEDERAL MARITIME COMMISSION
4 BY: ELISA P. HOLLAND, ESQUIRE, and
5 ERIC ROPER, ESQUIRE,
6 BUREAU OF ENFORCEMENT
7 800 N. CAPITOL STREET, N.W.
8 WASHINGTON D.C., 20573
9 appearing on behalf of THE COMMISSION.

10 ALSO PRESENT:

11 ERIC O. MINTZ, South Florida Area Representative
12
13 ANDREW MARGOLIS, South Florida Area Representative
14
15
16
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000174

1 shipping or transportation industry before you were
2 hired by Globe Movers?

3 A No.

4 Q What was your general line of work prior to
5 working at Globe Movers?

6 A Before that, I had worked in the motion
7 picture industry and I did that for six years, and I
8 also did just immediately prior to Globe Movers I
9 actually was a computer network administrator.

10 Q How was it that you came to be involved in
11 Globe Movers?

12 A My girlfriend at that time was working for
13 Globe Movers as a receptionist/customer service person,
14 and she mentioned that owners were looking for somebody
15 who knew how to do bookkeeping. And I had a little bit
16 of experience with Quickbooks, which is the system they
17 used, so they offered to interview me and I was able to
18 work part-time for them, which developed into a
19 full-time job.

20 Q What was your girl friend's name?

21 A Samantha Jean Rozzel, R-O-Z-Z-E-L.

22 Q Who were the owners that she referred to?

23 A Megan Kerpick and Baruk Kerpick.

24 Q Was it your understanding that they were
25 husband and wife at that time?

000175

1 A Yes.

2 Q And when was it that you interviewed with
3 them.

4 A I believe it was sometime in 2001, if I'm not
5 mistaken, between 2001 and 2002 most likely.

6 Q When you interviewed with them, what was your
7 understanding of what line of work the company was in?

8 A They were in the moving industry is all I
9 know.

10 Q Domestic as well as international?

11 A I didn't make that distinction at the time
12 that I met with them. I found out afterward that their
13 specialty was international.

14 Q I assume that you did secure an offer of
15 employment, correct?

16 A Yes.

17 Q What were you hired to do?

18 A I don't remember an official title they might
19 have given me, but when it first started off as
20 bookkeeping, then they realized I had managerial
21 experience, they made my general manager within three
22 months.

23 Q How many employees did the company have at
24 that point?

25 A Approximately, seven.

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1 was fairly unregulated and allowed entrepreneurs who
2 understood the product and could actually perform a
3 high quality service could actually get into it.

4 So as far as I knew there were no
5 requirements.

6 Q So during the duration of your employment at
7 Globe Movers, you had no understanding of the Federal
8 Maritime Commission?

9 A Not at all.

10 Q In any of your communications with the
11 various intermediaries that we've discussed, the issue
12 of licensing, bonding or tariff never came up?

13 A Never came up.

14 Q Were you ever asked to provide any
15 documentation or information relating to the Federal
16 Maritime Commission?

17 A There was one company that did enforce that,
18 I believe, towards the end of my tenure there, it was
19 Ship Co. They actually, I believe, mentioned something
20 that they wouldn't work with an unlicensed company.

21 Q And that was towards the end of your tenure
22 at Globe?

23 A I believe so, correct.

24 Q Did you prepare any shipping instructions
25 while you were at Globe?

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1 responsible for his own sales. They brought him in to
2 do sales.

3 Q All right. Tell me about when you made the
4 decision to leave Globe.

5 A It was January, February of '02 or '03.
6 After I knew that they were going to cut my salary and
7 I actually thought about what my options were, I
8 thought about going back to the motion picture industry
9 or pursuing other avenues. But after being exposed to
10 how Barry ran his organization, I knew that I could do
11 it better, so I basically took his model, however
12 flawed it was, and tried to perfect it at every corner
13 and started my own company.

14 Q Did you take steps to establish that company
15 prior to leaving Globe?

16 A The only thing that was done prior to that
17 was opening up -- filing the corporation with Florida
18 and opening up a bank account.

19 Q So you hired a lawyer somewhere to draw up
20 the corporation documents?

21 A Yes.

22 Q And your mother was designated as the
23 corporate -- sole corporate officer at that point,
24 correct?

25 A Correct.

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1 Q Was there a particular reason why you chose
2 to do that?

3 A It was mainly so that if there was any -- I
4 didn't want to arouse any kind of suspicion that I was
5 actually doing that, so I put it in her name, and then
6 I left Globe movers within two weeks after starting up
7 that corporation.

8 Q She also was continuing her employment at
9 Globe though, correct?

10 A Correct. Although, she was dismissed prior
11 to my leaving.

12 Q Was she let go again as a cost saving
13 measure?

14 A Yes.

15 Q Had you talked to your mother about your
16 intention of opening up this subsequent company?

17 A At that time, no.

18 Q Did she have any role in the establish ment
19 of the company or was the goal just to use her name as
20 the --

21 A It was strictly just to use her name until I
22 actually was on my own, and then it would transfer to
23 myself. She actually found a job fairly fast with a
24 trucking transportation company.

25 Q So she did not come to work immediately with

1 A Correct.

2 Q So he came to work for you. Anybody else?

3 A That's it. Samantha was working for me.

4 Obviously, she was just doing clerical.

5 Q Did you follow the same business model in
6 terms of getting leads and pursuing customers via
7 Internet searches?

8 A I took the best of what I learned from Barry,
9 and I perfected it beyond that, and I even actually
10 operated under the escrow model, which is where we took
11 the bulk of the customer's money, put it into a
12 separate account and paid the vendors through that.

13 Q Did you establish the banking accounts or did
14 your mother?

15 A Well, she had to?

16 Q And there were two accounts.

17 A There was a checking and savings. One was
18 simply overdraft protection for the other one.

19 Q Were you -- let me back up. When did you
20 transfer ownership of the company from your mother to
21 your name?

22 A It might have been within the first three
23 months after leaving Globe Movers.

24 Q Did you become the sole shareholder at that
25 point?

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1 A I believe she might have stayed on as maybe
2 treasurer, to the best of my recollection.

3 Q Was shares actually issued in the company?

4 A No.

5 (Whereupon, Exhibit No. C1 was
6 marked for identification.)

7 BY MR. ROPER

8 Q Let me show you what I've marked as C1 and
9 have you just take an opportunity to look at that.

10 A Okay.

11 Q Would this document, which purports to be
12 2004 For Profit Corporation Annual Report for Worldwide
13 Relocations, was that the document that was a result of
14 your change in ownership of the company?

15 A It appears to be, correct.

16 Q And we have yourself listed at the president?

17 A President, and TD, if that means treasurer,
18 then that would list Lucy Norry as treasurer.

19 Q So sometime in 2004, it looks like this was
20 filed in July, was when that would have occurred?

21 A Okay. Which means I left Globe Movers in
22 '04.

23 Q Take me through the early part of your
24 Worldwide experience, when you just had yourself, you
25 had the clerical support and Morales, correct?

1 A Sure. At that time, we were maintaining
2 expenses as low as possible was our main goal. That's
3 why I worked out of the home. I wanted to be able to
4 maximize profit; although, we knew we needed to be a
5 little more competitive than where we came from to
6 compete in an environment with a lot of the same
7 customers.

8 So initially it was a struggle and it was
9 very scary to put all my eggs into one basket and
10 really try to make this company thrive, but my
11 background as I said was customer service. I really
12 knew and I had a pension for the fact that if I can
13 operate a business and take care of the customer first,
14 that the rewards would be reaped down the road.

15 Q When your training at Globe stopped at
16 essentially the dispatch level from the sales on down,
17 right?

18 A Where, I'm sorry?

19 Q At Globe you didn't handle any of the
20 dispatch or logistics portions?

21 A Correct.

22 Q So how did you translate that job
23 responsibility when you opened Worldwide?

24 A Samantha was doing it. Samantha actually did
25 most of the -- she was in charge of the documentation

1 and she took whatever little she learned and she
2 consulted with several of the shipping lines, asking
3 them how they would like to receive their shipment
4 instructions, so they basically trained her on how to
5 do the shipping instructions.

6 Q Did you yourself ever personally prepare
7 shipper's instructions?

8 A Never.

9 Q Did you personally have any contact with the
10 NVOs that you were going to be utilizing?

11 A I'm sure on occasion, to discuss pricing or
12 discuss shipment releases or things like that.

13 Q Did you apply for any type of credit
14 arrangement with any of the NVOs?

15 A No.

16 Q Did you obtain their tariff rate sheets like
17 you had at Globe to prepare your quotes?

18 A Yes.

19 Q And did you continue to personally do sales?

20 A Yes.

21 Q As well as Morales?

22 A Yes. Although, not with the consumer
23 directly. I tried to generate sales using other
24 shipping companies, other freight forwarders.

25 Q How would you do that?

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1 called prequalifications.

2 Q What does that mean? ---

3 A Meaning that a member of upper management was
4 actually calling the customers instead of a
5 twenty-year-old salesperson. That actually added a lot
6 of weight to the marketing scheme. So he would call
7 and qualify the customer just like a salesperson would
8 and then turn it over to Josh who would actually
9 finalize the sale.

10 Q Let me go back to Moving Services for a
11 minute. Did Worldwide have any relationship with any
12 other carrier similar to the arrangement you had with
13 Moving Services?

14 A Yes, I'm sure they did. I don't remember the
15 exact names, but for whatever reason the Israeli
16 companies seemed to really congregate together. So I
17 seem to remember that they had some kind of reciprocal
18 arrangements with other brokers possibly. I don't
19 remember off the top of my head.

20 Q What is your understanding of a company
21 called International Shipping Solutions?

22 A As far as I knew, that was the name that
23 Globe Movers converted to. I believe the same
24 personnel changed from one to the other.

25 Q Do you have any understanding of why they did

1 that?

2 A No.

3 Q What about Dolphin International Shipping?

4 A I believe it may have been one of those other
5 entities as well. I don't know the specifics of it,
6 nor did I care at the time. We were actually -- we
7 arrived at the forefront or pinnacle of our industry so
8 we didn't really care about our competitors at the
9 time.

10 Q How long did that take for Worldwide to
11 arrive at the pinnacle?

12 A A year.

13 Q What would you describe as the pinnacle?

14 A Emasculate reputation, membership with the
15 better business bureau, good credit standing with all
16 of our vendors and high testimonial rate, low complaint
17 rate.

18 Q In that year do you have an estimate of the
19 number of shipments Worldwide handled?

20 A In our first year?

21 Q In your first year.

22 A Maybe three hundred, three to four hundred
23 maybe.

24 Q Were the majority of those shipments booked
25 via the Internet lead source providers that you were

000185

1 talking about earlier?

2 A The overwhelming majority, yes.

3 Q When you would book those shipments, what
4 instructions were you or your employees giving to the
5 shipping lines about who the shipper should appear as
6 in the bill of lading?

7 A That's a good question. By that time my
8 mother, Lucy Norry, was working for me, so I deferred
9 all that to her. She had a good understanding about
10 shipping instructions and how they should be done, so I
11 left all those matters to her.

12 Q Did she come to work -- you said she had gone
13 and taken another job --

14 A Correct.

15 Q -- after Globe?

16 A Correct.

17 Q How soon after that did she come to work at
18 Worldwide?

19 A If I'm not mistaken she came maybe about the
20 same time as Joshua Morales did or shortly thereafter.

21 Q Was the company still operating out of your
22 home at this point?

23 A Yes.

24 Q Did there ever come time final where you
25 moved your company's operations?

000186

1 A To another home, the one in Pembroke Pines.

2 Q So you moved from one home to the other home
3 office?

4 A Correct.

5 Q And does that just coincide with when you
6 moved personally?

7 A Correct. Our lease was up and we needed --
8 at that point our reputation preceded us and I could
9 see a loss of demand for our service. So just shy of
10 actually opening up an office, I wanted to experiment,
11 get a larger home to work out of that had multiple
12 rooms that we could use as offices, just to test, make
13 sure we were going to be viable in our second year, so
14 I moved into a bigger home in Pines.

15 Q Did you subsequently move another time?

16 A After that?

17 Q Yes.

18 A Yes. After that, when the lease was up at
19 that house, yes.

20 Q So did you operate for another year out of
21 that residence?

22 A No. After we moved out of the Pines house,
23 we moved to a residence in Coral Springs. We were
24 there for four months, five months. The actual owner
25 of the house who rented it to us, he had -- the owner

000187

1 before him had violated some kind of protocol and he
2 had to dismantle a loft in the houses. And it
3 basically became uninhabitable and that's when we had
4 to move and we moved to Parkland after that basically.

5 Q Parkland is the business suite --

6 A Parkland is my home address.

7 Q Oh, I'm sorry.

8 A But at the Pines house, we stayed there two
9 years exactly.

10 (Whereupon, a brief recess was
11 taken.)

12 MR. ROPER: All right, we're back. And
13 Mr. Costadoni, we were talking about the
14 present operations of Worldwide I
15 believe and I wanted to mark as an
16 exhibit here, this is Costadoni No. 2
17 here.

18 (Whereupon, Exhibit No. C2 was
19 marked for identification.)

20 BY MR. ROPER

21 Q This is a bill of lading from Direct
22 Container Line, and I want you to take a moment just to
23 look at the first page there.

24 A Okay.

25 Q Did you ever, as president at Worldwide,

1 prepare the instructions necessary to generate a bill
2 of lading?

3 A No.

4 Q Other than Lucy, is there any other employee
5 at Worldwide that had that responsibility?

6 A Not to the best of my knowledge. Unless she
7 maybe had some assistance in doing some simple tasks,
8 but otherwise she was responsible for it.

9 Q So every bill of lading that was generated by
10 Worldwide booking, the information was provided by
11 Lucy?

12 A To the best of my recollection, yes.

13 Q Did you have communications or discussions
14 with Lucy about what was going into that instruction?

15 A The only thing that i ever recommended to her
16 was obviously following the shipping lines, meaning the
17 NVOCC, follow their guidelines, whatever format they
18 requested, to ensure accuracy and to prevent erroneous
19 information, to comply. That was as much guidance as I
20 gave her.

21 Q And she was the one that was calling up to
22 make the booking with the steamships?

23 A She would fax over the booking instructions,
24 yes.

25 Q And the shipper on this bill of lading is

000189

1 Worldwide Relocations, correct?

2 A Correct.

3 Q The 313 Southwest 184th Way address, that was
4 your residence?

5 A That's correct.

6 MS. HOLLAND: Where would Lucy get the
7 information to be able to make the
8 booking?

9 THE WITNESS: The closing form. The
10 closing form was really the master
11 document that was kind of like a flow
12 chart of exactly how things should
13 proceed.

14 MS. HOLLAND: Okay. Thank you.

15 (Whereupon, Exhibit No. C3 was
16 marked for identification.)

17 BY MR. ROPER

18 Q I've marked as C3 here a separate bill of
19 lading from Tober Group that also contains the 313
20 Southwest 184th Way address. The shipper here appears
21 to be Joe McGarvy (ph), and then underneath it it has
22 CO Worldwide Relocations.

23 Do you ever recall having any discussions
24 with Lucy about the difference between these two styles
25 of the shipper block?

000190

1 A No, not a all. Like I said, I deferred that
2 to her. I understand -- I'm surprised that this one
3 doesn't have the customer name above ours, because as
4 far as I learned from Globe Movers that it should
5 always be customer name, first position, care of the
6 actual shipping company that booked it, or the actual
7 broker or the actual freight forwarder that actually
8 booked it.

9 Q So how would that particular shipment be
10 consign to the ultimate receiver?

11 A Not being -- how is it consigned to Edgar?

12 Q Who was the shipper?

13 A In this case I believe that the -- I'm
14 looking.

15 Q We're talking about Exhibit C2?

16 A That's actually my handwriting there that
17 says Piserchia, so I believe Piserchia,
18 P-I-S-E-R-C-H-I-A is probably the actual ultimate
19 shipper/consignee. The consignee in this case ,Edgar
20 Bevedere (ph), may be his chosen customs broker
21 possibly.

22 Q At what point in the transaction would the
23 consignee actually receive a copy of this bill of
24 lading?

25 A As soon as his invoice was paid, if it was a

000191

1 during the fruit-full times, we paid the invoices as
2 they came in. At one point, before the last quarter of
3 '04, we delivered about twelve hundred shipments over a
4 two year period of time and all of them were paid.

5 Q In the last -- say that to me again, on the
6 last quarter of '04 --

7 A '04, when trouble happened, when the
8 complaints started happening, we were stripped of our
9 BBB memberships. Up until that point, really we had
10 been operating as a very good entity, a very good
11 customer service company and had a good reputation for
12 payments as well as delivery.

13 Q And you said twelve hundred?

14 A Twelve hundred shipments over a two-year
15 period of time, yeah.

16 Q Let me ask you a couple of questions about
17 the web page for Worldwide Relocations.

18 A Sure.

19 Q What involvement did you have in the
20 establishment and/or maintenance of the Worldwide web
21 page.

22 A I designed it complete myself and maintained
23 it.

24 Q Did you have previous web design experience.

25 A I updated websites for my former employer

1 motion picture company, yes. That's where I learned
2 it.

3 (Whereupon, Exhibit No. C4 was
4 marked for identification.)

5 BY MR. ROPER

6 Q I've handed you or placed in front of you
7 what I've marked as Exhibit C4. I'll give you the
8 marked copy there.

9 Do recognize this printout from the Worldwide
10 web page?

11 A Yes.

12 Q And it has it looks like -- at least some of
13 the pages, it is has a website address of
14 WWW.WWRELOCATIONS.COM.

15 A Correct.

16 Q Was that your company's website address?

17 A Yes.

18 Q And are you saying that you provided all of
19 the content for this page?

20 A Yes.

21 Q Up at the top left it says -- it has an icon
22 that has the initials HHGFAA. You understand that to
23 be Household Goods And Forwarders Of America?

24 A Association of America.

25 Q Did Worldwide pay dues to that organization?

000193

1 A Yes, we did.

2 Q All of the other content here is as you
3 provided as the web administrator?

4 A Correct.

5 Q And did you get clients or customers directly
6 from the website?

7 A Yes.

8 Q As well as those lead providers?

9 A Yes.

10 Q That you had paid for?

11 A Yes.

12 Q Where did you obtain the cubic volume
13 measurement calculator function for the website?

14 A Globe Movers.

15 Q They had a similar thing on their page?

16 A Uh-huh, several other movers did. I happened
17 to copy their's because they seemed to be the most
18 complete.

19 Q On some of these pages we can see the various
20 shipping options that they have, including partial
21 packing loading, self-packing full loading, etcetera,
22 door-to-door, door-to-port.

23 Would the individual shipper work directly
24 with you to chose which of those options were best for
25 them?

000194

1 A Do you mean services?

2 Q The best services.

3 A Yes, of course.

4 Q What sorts of things would you consider in
5 making that recommendation?

6 A Basically the way we were trained and the way
7 we trained our sales staff as well is to compare what's
8 more important to the customer, whether it was cost or
9 convenience. If convenience was more important, then
10 door-to-door services were the most likely outcome. If
11 price were the overall factor, then we would curtail it
12 to port shipments.

13 Q Did the profit margin increase with the more
14 services that were provided?

15 A Not necessarily. Because of the competition,
16 there was really a cap that you can really place on
17 even the largest of shipments.

18 Q I want to talk to you for a couple of minutes
19 about the role and positions that Mr. Culler played at
20 Worldwide.

21 Did there come a time when you and he agreed
22 to some sort of partnership interest in Worldwide?

23 A Yes.

24 Q And can you tell me when that was?

25 A When things were very lucrative, when the

000195

1 Alexandria Hudson.

2 Q No relationship to Elizabeth Hudson?

3 A No, not a all. That would be what comes to
4 the top of my head. If there were other aliases, --

5 Q What was her compensation arrangement when
6 she came to work for Worldwide?

7 A We just paid her a weekly fee for consulting
8 services. We paid her company directly I believe, or
9 we may have paid her directly and I think it might have
10 been seven, seven fifty, seven hundred and fifty
11 dollars per week?

12 Q When you say her company, what do you mean?

13 A I think she might have actually opened up a
14 consulting firm and I think we were paying a consulting
15 firm. I'm not exactly sure who the check was made out
16 to, but that was the arrangement, just a weekly
17 compensation amount. In return, she would be
18 completely accessible to us for anything we needed.

19 Q Who did handle the business aspect of
20 Worldwide, including cutting checks and remitting
21 invoices and things like that?

22 A Up until it got too much for me, I did all of
23 that. After it got to be too much, then I got a
24 bookkeeper, non-full service bookkeeper. And an
25 accounting firm called DGL Management took over

000196

1 pavement of bills, as well as corporate filing.

2 Q Before we get to the sort of the peek of
3 Worldwide in I guess what you've said is the last
4 quater of 2004, right?

5 A That would have been the end actually.

6 Q That would have been the end?

7 A Sure. That's when the downturn happened.
8 The peek would probably be early '04. If I'm not
9 mistaken, that's exactly when we did these agreements,
10 because everything looked so good.

11 Q What discussions with any other employees at
12 Worldwide did you have about the Federal Maritime
13 Commission during this time?

14 A During that time, none at all. The only time
15 that it ever really came into effect was when the first
16 of the complaints starting coming in, it would have
17 been maybe September of '04. Between late August to
18 the end of September, that's when we were completely
19 obviously aware that our licensing had become an issue
20 that we knew was mandatory at that time.

21 So at a frantic pace I called my father up
22 out of retirement and we tried to place him as a
23 qualified individual.

24 Q What steps did you take to do that?

25 A Well, besides having him come and work for

1 us, he actually resided in Paraguay at that time, so he
2 actually came back to live temporarily here, and we
3 sent our application to DPI. James Divine reviews the
4 OTI applications and gives us the requirements, and we
5 basically worked with him for maybe up to two months
6 regarding that application.

7 Q Why did you decide at that point to apply
8 for -- well, what type of license did you understand
9 that you were applying for?

10 A As a licensed freight forwarder.

11 Q As a freight forwarder?

12 A Correct.

13 Q Did you understand the difference at that
14 point between a freight forwarder and an NVO?

15 A Only the requirements. I know that the bond
16 was higher for an NVO than it was for a freight
17 forwarder. I believe freight forwarder might have been
18 the minimum requirements that we would be eligible for.
19 But at the time I remember specifically talking to my
20 father and to James Divine and trying to get the NVOCC
21 license first and foremost rapid, then defaulting back
22 to the OTI I think when James threw a couple of
23 obstacles there that we weren't going to be able to
24 meet.

25 Q Such as what?

1 A I think it was the longevity of the
2 qualifying individual, I think that might have been an
3 issue. To be honest with you, I would have to ask
4 James. I'm sure he keeps all of those applications on
5 file.

6 Q So you actually completed an application
7 yourself?

8 A Absolutely.

9 Q On behalf of Worldwide?

10 A Correct.

11 Q And sent it to Mr. Divine at DPI?

12 A Uh-huh.

13 Q Did you pay him or his company a fee for this
14 service?

15 A I don't believe so at first. I know that his
16 fee to process the application and submit it to the FMC
17 was going to be seven hundred dollars or seven fifty.
18 But we sent it to him and we never really got past the
19 review process. He poked so many holes really in the
20 application that we knew that we had to I guessing tidy
21 up the application and come up with more information to
22 present it in the best light.

23 Q Let's back up for a minuted and talk about
24 the -- you said that the volume of the complaints had
25 risen sharply at this point?

1 to win a second chargeback, so.

2 Q So all the customer had to do was dispute it
3 again and they were --

4 A Exactly.

5 Q I want to move to April of 2005 and the talk
6 about the letter of debt or honor, as I think you've
7 referred to it in the past?

8 A Correct.

9 Q What was the state of affairs at Worldwide in
10 April of 2005?

11 A By that time we had closed down the company.
12 Basically, I held no more loyalty to the employees and
13 basically everybody went on their way or was still
14 looking to be. But I brought the computer back home and
15 I actually maintained the toll free number. I hired a
16 company to answer the phonecalls and to send me the
17 transcript by E-mail so I could respond and I
18 maintained it as open a line of communication as I
19 could with those customers that were still fighting for
20 their shipments.

21 So what I did was I presented that letter,
22 sent one out to every customer and to every vendor that
23 we still owed money to for shipments, just to try to
24 put both parties together so that they could figure out
25 a way to release and give the customer's goods back

000200

1 without Worldwide being the obstacle or giving the
2 appearance that I had actual I gone underground.

3 Q Let's separate out the letters for the moment
4 that you sent to Worldwide customers and the ones that
5 you sent to the other vendors?

6 A Sure.

7 Q Do you have any idea or estimate of how many
8 shippers had current shipments with Worldwide that were
9 at that point stranded at some location?

10 A Maybe between sixty and seventy.

11 Q Sixty and seventy?

12 A Maybe.

13 Q Had all sixty or seventy of these customers
14 paid Worldwide for the transportation of their goods?

15 A I couldn't say that with complete accuracy.
16 They all paid deposits at least for sure. Did any of
17 the others ones maybe not have final payments?
18 Absolutely. There were many payments that weren't paid
19 in full.

20 Q So even if the deposit had be paid, the goods
21 had been picked up and taken somewhere?

22 A Sure, maybe still stuck at the mover.

23 Q At the local --

24 A At the local mover.

25 Q Might some also be at varies NVO warehouses?

000201

1 A Absolutely.

2 Q And maybe even because of what we discussed
3 earlier with the prepaid freight, some might be at
4 destination?

5 A Absolutely.

6 Q And were all of these complaints
7 representative of -- did some of those complaints
8 reflect all of those sixty or seventy shipments?

9 A Yes.

10 Q They were somewhere in the pipeline?

11 A I would agree.

12 Q And what was the status of your relationship
13 with the vendors at that point? These are the licensed
14 company's?

15 A Correct, these were the licensed OTIs. There
16 were a couple that we had managed to pay in full, Truck
17 Container Line being one of them. There were other
18 vendors that Worldwide owed plenty of money to, and
19 since we were none -- we weren't a viable company at
20 that point, I wasn't a viable company, what was left
21 over I couldn't pay for anything because I had no
22 assets myself.

23 So then I tried to maintain an open
24 relationship with the vendors by just providing
25 information. At that point that's the only thing I

000202

1 could provide was information.

2 Q Did the majority of these shippers at the
3 time that you sent this E-mail know the identity of the
4 entity who was holding their goods?

5 A I went to great pains, I paid over a thousand
6 dollars in DHL costs to make sure that every customer
7 received a packet by courier, no matter where in the
8 world they were, to at least give them the booking
9 number, the vendor's name and address, a contact person
10 if possible, so that every person that we still had a
11 record of there whereabouts, they knew where their
12 goods were.

13 It took me a month and a half maybe to do
14 that with everybody.

15 Q But the entity that was holding those goods
16 had not yet been compensated, correct?

17 A Correct. Or if they had, in some cases, they
18 still might have not released shipments because of a
19 dispute or another.

20 Q Did you ever experience some licensed
21 entities who would collect payment for previous
22 shipments when you intended for it to be applied to
23 current shipments?

24 A Sure. It was done all the time.

25 Q Explain that process?

000203

1 A Well, I couldn't give you exact examples, but
2 I know many times Direct Container Line's accounting
3 office is horrendous and they constantly misapplied
4 invoices. And every one of the OTI's that we dealt
5 with, at some point or another they would keep a
6 shipment on hold where payment had been made but
7 misapplied to something else, and that really
8 compromised us. That's common place.

9 Q When Worldwide remitted payment, did you just
10 do so in a lump sum and leave it to the entity to
11 decide how to allocate that?

12 A No, never. We specifically on our checks
13 went to bill of lading numbers. In fact, I'll give you
14 another one. The OTIs, at their discretion, if
15 Worldwide owed them money, they would actually keep
16 paid shipments on hold as a bargaining tool, which as
17 far as I know is illegal, but they would all do it
18 anyway, all of them. There isn't a single one that can
19 deny that fact.

20 Q When you say all of them, give me some
21 specific names you're referring to?

22 A Troy, DCL, CaroTrans, Euro America, just to
23 name a few.

24 Q In any of your personal -- I'm not asking
25 about any employees, but in your personal dealings with

1 complaints started appearing.

2 And by that time, we knew that our
3 application and my father's name would actually be
4 denied. And I could go back and ask James Divine at
5 DPI when was the first time I approached him, and it
6 was probably Summer of that year, of '04.

7 Q Summer of 2004?

8 A I believe so, yes. Right when things were
9 going well, you know, we were really looking into
10 making sure that everything was tidy.

11 Q Before the wind down phase in early 2005, how
12 did you pay yourself a salary?

13 A Before Steve came along, I would just take
14 distributions as an owner. And when I finally decided
15 to bite the bullet and put myself on salary, I took
16 five hundred week.

17 Q Were there any corporate charge cards, either
18 debit or credit cards, that were issued in the name of
19 the corporation?

20 A Sure, my name and the corporation.

21 Q Your name as the president and owner?

22 A Correct.

23 Q Did you utilize those accounts for any type
24 of personal expenditures?

25 A No. I used them corporate expenses.

000205

1 Q At what point did you engage the services of
2 that accounting firm? I think it was --

3 A DGR Management, I think it was sometime in
4 '04. It would have been when we were still at the
5 Pembroke Pines house, so it would have been maybe
6 Summer of '04 during our peak.

7 Q Did they prepare all of your company's
8 financial statements from that point forward?

9 A Yes.

10 Q Getting back to the bills of lading, we
11 looked earlier at examples where Worldwide appears as
12 the shipper in their own name, and then we looked at
13 another case in which Worldwide appears as Care Of --
14 I'm sorry, the shipper appears Care of Worldwide
15 Relocations.

16 A Correct.

17 Q Were there other formats or styles that you
18 saw utilized at Worldwide other than those two?

19 A No, that's the only two.

20 Q What about as agent for?

21 A No, I don't remember seeing that.

22 Q How about the shipper's name only?

23 A That might have happened on occasion, sure.

24 Q And how would -- in those case where the
25 shipper's name only appeared on the bill of lading, did

000206

1 Worldwide nonetheless make that booking with the
2 steamship line?

3 A Yes.

4 Q In other words, the shipper didn't have any
5 direct contact with the licensed intermediary.

6 A No, correct.

7 Q The shipper looked to Worldwide for the
8 provision of those services, correct?

9 A Correct.

10 (Whereupon, Mr. Mintz and Mr.

11 Margolis departed from the deposition.)

12 BY MR. ROPER

13 Q We're back on the record, Mr. Costadoni, and
14 we will try and wrap up our discussion of Worldwide
15 here pretty soon.

16 At the height of Worldwide's operations, I
17 think you told me that you had fifteen employees?

18 A Thirteen.

19 Q Thirteen employees, okay. Can you recall the
20 individual's names?

21 A Joshua Morales, Daniel Cordrado, Loira
22 Rivera, Betty Munchausen, Steve Culler, Lucy Norry,
23 Daryl Bowens, Kevin Wilde, Anna Mikova, M-I-K-O-V-A,
24 Barbara Dean, and Jose Gonzalez, that's it. There was
25 a few more, but they lasted like a month or so.

000207

1 on occasion as well, unless -- if the mover would crate
2 it and not give us the option and it would kind of
3 compromise us, we would have to tell the customer that
4 things got crated because of safety issues or what have
5 you. ShipCo was one vendor that made it mandatory to
6 crate everything.

7 So I believe there were times that we
8 actually crated things on the spot; otherwise, the
9 shipment was not able to go.

10 Q ShipCo was a vendor --

11 A Was an intermediary, correct.

12 Q All of the intermediaries that you mentioned,
13 I'll represent to you held or hold NVO licenses issued
14 by The Commission. Did you ever engage a company that
15 was not licensed by the Federal Maritime commission?

16 A To ship internationally, no.

17 Q We've talked about Mover Services, who again
18 I'll represent to you is not a licensed company and was
19 not at the time. So there's no other companies like
20 them that Worldwide would use.

21 A No, because he used us as a vendor, a source
22 of shipping. We never used him. We basically accepted
23 his cargo, but we were actually the shipping company
24 for him.

25 Q So Moving Services would be the shipper in

000200

1 relationship to Worldwide?

2 A Correct.

3 Q And Worldwide would be the carrier in
4 relationship to Moving Services?

5 A Correct.

6 Q And taking it up the chain, when you turned
7 that over to say ShipCo, Worldwide is the shipper in
8 the relationship to ShipCo?

9 A Correct.

10 Q All right. We've talked a lot about
11 Worldwide and the winding down those operations. You
12 mentioned early on, when we were discussing the issue
13 of low balling, that there were some competitors of I
14 believe at the time Globe's, and later Worldwide's, who
15 did engage in that practice that you know of?

16 A Sure, and they still exist today.

17 Q And can you tell us who those are?

18 A That were low-ballers at that time?

19 Q Yes.

20 A Sure. Classic International.

21 Q Classic International?

22 A Absolutely.

23 Q Is that a Florida company?

24 A I don't know. They advertised with a New
25 York company. The mover moved down to Florida because

000209

1 his name was so tarnished and started a company in
2 Lauderdale Lakes, not far from here. Classic
3 International is one.

4 There's many of these companies that changed
5 ownership and actually come and establish new companies
6 after their original names are tarnished. Masada is
7 another company.

8 Q M-A-S-A-D-A?

9 A Correct:

10 Q Were these licensed companies?

11 A No, none of them. None. In fact, right now,
12 not as an expose on the industry, I would say of all of
13 the companies, businesses that operate in this
14 international shipping companies, less than half of
15 them are licensed, but yet all of them advertise.
16 Nationwide Relocations, for instance, is probably the
17 biggest broker in the country and they do international
18 shipments, posted all over every website, and
19 apparently they're not in any trouble.

20 I named a dozen of them and I faxed over all
21 of the papers to Jennifer Gardland. That was two years
22 ago.

23 Q Well, we're obviously in a proceeding now,
24 and hopefully that impression of the industry is
25 changing.

1 A Sure. I do see it. It's definitely made a
2 significant impact over the las year.

3 Q What has?

4 A That all of the intermediaries have really
5 clamped down and nobody -- the brokers are basically
6 going out of existence, just by default, because nobody
7 is going to ship their cargo. So that is one big
8 change. Maybe it took twenty years to get to, but it
9 is one big change.

10 Q Well, those brokers, as you call them, the
11 intermediaries as we call them, could certainly apply
12 for licenses their own right; do you agree with that?

13 A Yes.

14 Q And you yourself took steps to do that at one
15 point?

16 A Yes, absolutely.

17 Q All right. Tell me about the idea to form
18 the company known as Tradewinds Consulting?

19 A Okay. When we closed down the office in
20 Hollywood for Worldwide, that left me with quite a
21 dilemma. Not only did I have personal financial
22 setback or collapse, if you will, but at the same time
23 what do I do with all of the people. I'm not very good
24 at firing people. I'm not very good at letting people
25 go, especially people that have done their best to

1 represent me, work for my company in the best way.

2 So there were several people there that I
3 honestly didn't know what to do with or what they could
4 end up doing, but I thought well, 'if Worldwide is going
5 down and is going to fail, I can't really be a part of
6 anything else, nor do I want to be. I'm really soured
7 on this industry. But at the same time, if the
8 people -- maybe they can get together and form their
9 own company, who is it for me to stop them. I can
10 absolutely provide consulting work, I can point them in
11 the right direction, I can tell them what they need to
12 do and let them off on their own.

13 So with Barbara and Anna, which were the key
14 employees of Tradewind Consulting, they had the
15 ability, with one person doing either dispatching or
16 customer support, the other person doing sales, that
17 company could exist on a limited basis, a very small
18 entity like that, using the business model we had done
19 with Worldwide, and make it a successful and viable
20 company.

21 Then I approached my cousin. My cousin is
22 Angel Sanchez out of New York. He -- at the time he
23 was working for Lowes, and I had worked with him in the
24 past, we had worked on a company together as well, and
25 he's exactly the type of entrepreneur that would be

1 needed for a venture such as this.

2 So I basically put all of the parties
3 together. I talked with Angel and I let him know that
4 for a certain fee, would he mind being the figure head
5 of a company, and being responsible obviously for its
6 services and actions, and let the employees thrive. If
7 it didn't work out, then everybody can go their
8 separate ways and nobody is harmed, as long as
9 everything is paid.

10 Q Was it your understanding that Tradewind's
11 line of work would be similar to that of Worldwide and
12 Globe Movers?

13 A It would be similar to both, correct. Anna,
14 for one -- the company would be reliant on sales and
15 Anna was the only salesperson. She was the only person
16 that needed to work somewhere. So her natural strength
17 is sales and it is international sales, so it would
18 only make sense that that's what she devoted herself
19 to.

20 Q At the point you made this proposal, were you
21 concerned at all with the idea that the same licensing
22 issues that plagued Worldwide were going to be
23 identical to those faced by Tradewind?

24 A Not by vendors, because up until then all of
25 the vendors accepted freight freely from anybody. So

000213

1 up until then, let's say the crackdown about the
2 intermediaries-hadn't happened-yet. Had I known that,
3 no, I never would have recommended for anybody to stay
4 in this industry because they would lose their sources,
5 their carriers.

6 But if she were able to monitor her sales and
7 stick to a certain amount and really do it well and
8 really provide the kind of service that they were
9 looking for and not exceed that by ambition or greed or
10 anything else, then there would be no reason that she
11 would ever get into trouble, as long as they limited
12 the complaints, and one way to eliminate the complaints
13 is to do the job.

14 Q So your vision at the time was that the
15 complaints would take care of the licensing issues,
16 that if there were no complaints, there would be no
17 licensing problem?

18 A Based on the fact that, like I mentioned,
19 there's probably over three or four hundred shipping
20 companies that operate below the radar on that exact
21 same premise, sure. No complaints means you stay off
22 the FMC scope or whoever's scope, DOT as well. And as
23 long as the object is to do the job correctly, to
24 really perform a service and to help an individual
25 consumer relocate their goods to the best of your

1 ability, even to this day I don't see why there would
2 be a problem, but politically we know that that naive
3 viewpoint doesn't work.

4 Q Well, certainly the bonding issue has a big
5 impact on that?

6 A Sure. I didn't learn about the bonding
7 issue, believe it or not, until I put the same scenario
8 together and tried to offer or push Lucy and Beth to
9 actually get into a domestic mover situation. To be
10 able to get your DOT license, you need a bond, a ten
11 thousand dollars bond. I wasn't aware of that.
12 Otherwise, I would have told them no, go be fisherman
13 somewhere. Just stay out of this industry because
14 there's no reason to get into those things.

15 Q But backing up to when you approached James
16 Divine about the OTI application for Worldwide, did he
17 not mention -- I thought we discussed the idea of --

18 A He sure did, he sure did. He said that the
19 bond, which was fifty thousand dollars at that time,
20 could be had for about fifteen hundred dollars by a
21 bond assurance or bond premium company. So a fifteen
22 hundred expense is nothing. That wasn't I guess scary
23 in any way.

24 Q So you were aware of the bonding issue back
25 even in Worldwide?

000215

1 A To become a licensed shipping company, sure,
2 sure. But when I talked to Angel, when I talked Anna,
3 when I talked to Barbara, when I told them to basically
4 stay small, I even gave them another proposal. I told
5 them look, the last days at Worldwide, we did something
6 super smart. We actually took bookings from customers
7 and had the customer pay the intermediary directly.

8 That way the intermediary was responsible for
9 paying the commission to the actual broker that would
10 bring them the deals, and just do it that way. That
11 way you're not really doing an international shipment.
12 The intermediary is getting it directly from the
13 consumer, which they're more than capable of doing, and
14 that's how it was supposed to be done.

15 What happened afterward, what they did, I
16 don't know.

17 Q So what role did you have in the formation of
18 Tradewind?

19 A Consultant. I pointed them to Speigel and
20 Nutrera (ph). I told me cousin. He wanted to make it
21 a New York corporation, because he lived up there, so I
22 actually looked at the -- I had to learn about the
23 state corporation, state requirements. So I told him
24 him, do this, do that. And the same thing with Anna
25 and Barbara, if they needed things, you know, or they

1 BY MR. ROPER

2 ~~----- Q~~ Let me ask you about the formation of the--
3 Tradewind website. I'm marking what's Exhibit C8 here,
4 which is a printout of various web pages from the
5 website WWW.TradewindConsulting.com.

6 Did you have any role in the preparation or
7 maintenance of this website?

8 A With input from Anna, one of the salespeople,
9 yes, I did offer that for them, and I billed them for
10 that, so they did pay me for making the website.

11 Q You billed them and they paid you for
12 designing that website?

13 A Correct.

14 Q So all of the content again was generated by
15 yourself?

16 A Anna provided some of the content as well.
17 I'm not sure if Barbara may have provided anything.
18 But I would say that I provide the organizational
19 structure completely and probably most of the wording.

20 Q This website advertises Tradewind Consulting
21 as providing air and ocean freight shipments, full
22 loading and packing services, delivery -- door-to-door
23 delivery, marine insurance and similar things to that
24 of Worldwide, correct?

25 A Correct.

000217

1 Q So when you saw this website, was that at
2 ~~odds with what your recommendation was to have them~~
3 have their shippers contact the intermediaries
4 directly? This doesn't appear to me to be --

5 A Not exactly, because that actually is more of
6 a payment issue than anything else. They could still
7 book services, just like I said, Nationwide
8 Relocations, using them as a model, they do book moves
9 and then they turn it over to another company to
10 actually process everything. Moving Services did that.
11 They used Worldwide to process their moves.

12 So my suggestion to them was to book the
13 moves, but give it right to the intermediary, have them
14 invoice the customers directly, and all you do is just
15 collect the commission.

16 Q What value would Tradewind add to that
17 transaction if that was the case?

18 A Well, it's simple. Because they would tell
19 the intermediary, as far as I know, see that's
20 something I don't know and I think that that was flawed
21 in my respect, is that you should be able to dictate
22 exactly what the due agent fee would be on a bill of
23 lading. The due agent fee to me is a commission,
24 that's from what I understand a long time ago. So they
25 could tell the shipping line what their due agent fee

000218

1 would be.

2 Q Did you have any day-to-day operational input
3 into the operations of Tradewind?

4 A Well, they worked in the living room, I
5 worked from the kitchen doing my own thing, so
6 obviously I was open access to them.

7 Q But this was a New York corporation?

8 A Correct.

9 Q It had a New York principle place of business
10 address and all its correspondence?

11 A Correct.

12 Q And whose address was that?

13 A That's my cousin's address, Angel's.

14 Q Owego, O-W-E-G-O, New York, that's his
15 address, correct?

16 A That's his address, correct.

17 Q And that appeared on all of the letterhead
18 and invoices and things of that sort?

19 A Absolutely.

20 Q But that's not where the business was being
21 run out of?

22 A No. They outsourced it, just like everybody
23 else does.

24 Q In this case they out sourced it to your
25 house?

000219

1 A Basically, yeah, sure. You know what, in
2 fact, Tradewind, maybe some of the payments with them
3 was rent actually, because they were renting office
4 space. I had a big house so that's where they were
5 able to stay with a small rent fee so they wouldn't
6 have to get an office somewhere else.

7 Q So they rented office space from your house?

8 A Uh-huh.

9 Q And paid you rent for that?

10 A The consulting firm, sure.

11 Q Who established the Tradewind bank accounts?

12 A Angel did. He was the sole officer. He's
13 the only one that could.

14 Q Did you have access to those accounts?

15 A I was not a signor on the account, no.

16 Q Were you issued or did you receive a charge
17 card or debit card?

18 A He received a debit card. It was in his
19 name.

20 Q It appears from just reviewing some of the
21 bank statements that there were a number of charges
22 made in and around the Pembroke Pines area?

23 A Uh-huh.

24 Q Who would have made those charges on the
25 Tradewind Corporate account?

000220

1 A Well, it depends on what kind of services
2 they were, but they could have easily have been for the
3 use of the company. It depends on what the exact
4 amounts are. I know that it was used for software. It
5 could have been used for whatever they deemed as
6 necessary. Even if that meant fuel for one of the
7 employees, if that's what was necessary.

8 Physically, as far as I remember, Angel had
9 the card, but the people, the personnel at the office
10 had the number.

11 Q So restaurants and things like that would
12 have been within those corporate expenditures to your
13 knowledge?

14 A Absolutely, sure. Angel did come down
15 several times, so it could easily have been that as
16 well. Angel's mom lives in Florida, his whole family
17 is down here.

18 Q Did you have any input into the preparation
19 of the bills of lading for Tradewind?

20 A No.

21 Q Did you prepare shipper's instructions?

22 A No.

23 Q Invoices?

24 A No.

25 Q Any documentation with respect to Tradewind's

000221

1 getting from Florida to New York, I find a better
2 trucking company. — So I'm involved in logistics,
3 collections, even destination agents. They've used my
4 own. I brought them other intermediaries to ship from.

5 Q Who is the employee though; is it you or is
6 it the Tribeca consulting?

7 A I guess Tribeca Business Consulting would be
8 the consulting firm for them, outside consulting.

9 Q Is Tribeca advertising or holding themselves
10 out in any way as a consulting firm for individual
11 shippers.

12 A No. We don't even have a website.

13 Q Let's talk about Boston Logistics.

14 A Okay.

15 Q When did that idea come to you to form Boston
16 Logistics?

17 A When I spoke with Jose Gonzalez, whose an
18 employee of mine through Worldwide. I knew that he was
19 really the bread winner in his family, and he needed a
20 place to work. When Worldwide went down, I had the
21 same dilemma I did for Anna. He came to me for a job
22 opportunity. And with him, I know he worked for moving
23 services, so I knew -- I thought I remembered moving
24 services did also some local and long distance. So I
25 believed he had experience at doing that.

000222

1 So I told him look, what you do is you go
2 ahead and start up a local moving company, plenty of
3 people have done it that way. When I discussed and
4 brainstormed with Beth and with Lucy, they needed an
5 opportunity as well.

6 Q Beth, who are you referring to?

7 A Elizabeth Hudson.

8 Q That is your fiance?

9 A Correct.

10 Q Why was Elizabeth Hudson designated as the
11 corporation's president?

12 A Well, for the main reason that she -- even
13 though she established that bond with my mom and even
14 though we were boyfriend girlfriend at the time, she
15 really had no equity. This was one way to give her a
16 little bit of equity to make sure if she's going to
17 work and do some good for a business and lend her name
18 as a figurehead, just like Angel had done, then she
19 deserved to make a little compensation for that too.

20 What little she made went towards medication
21 for her chronic back injury. But the idea was she
22 would have the support personnel around, the expertise
23 of Lucy and Joe, who was supposed to really handle the
24 sales environment doing domestic and long distance.

25 Q What was Lucy's position or title at Boston

000223

1 Logistics?

2 A She really had no title. She did the
3 bookkeeping, she made sure the books run straight. She
4 did all of the dispatching at first and then when they
5 ran into trouble, then she had more of a role just
6 doing accounting, just trying to keep her fingers in
7 the damn because of Joe inability to produce enough
8 sales to warrant the office. She had her own money,
9 she had ten thousand dollars of her own money and she
10 now she's got an office location for her and Joe.

11 Q What day-to-day responsibilities did beth
12 have for the company?

13 A From the beginning, really just for one, to
14 be just blunt and honest, to be the figure head of the
15 company, that was the main thing. But she also ran
16 plenty of errands, she did the bank runs, she did some
17 filing. And when they needed to, they needed a fresh
18 voice, and Joe couldn't get anywhere with the clients,
19 she would be in charge of collections.

20 Q Did the shipper hire Boston Logistics to
21 transport their goods from Point A to Point B?

22 A Yes.

23 Q Similar to Worldwide and Tradewind?

24 A Yes.

25 Q And was the business structure similar to

000226

1 that that was followed in Worldwide and Tradewind.

2 A--- No. . Because Boston ---actually when I told--
3 him to -- I told him, just like I told you, just like I
4 told Anna and Kevin and even Barbara, stay away from
5 international and really go domestic, get your DOT
6 license. They actually got their DOT license. They
7 were able to secure the bond and they started
8 advertising in local websites as a twenty-four hour
9 available mover. And they also purchased -- they used
10 one of my lead sources and they purchased domestic
11 leads.

12 Q At what point did they get involved in
13 international moves?

14 A As soon as Joe figured out that he couldn't
15 sell domestic. As soon as he was open and honest about
16 that and said he was having a real hard time. I guess
17 he used the international as a fall back, that's what
18 he knew, that's what he was used to.

19 Q How long was Boston Logistics open?

20 A Maybe two months, three months.

21 Q Do you have any estimation on the number of
22 shipment they concluded during that period of time?

23 A Maybe a little closer estimate with them
24 because I know how poorly Joe did. Maybe eight, ten,
25 twelve.

000225

1 Q Did they operate out of that office the
2 entire time?-----

3 A Except for one month. As soon as Joe was let
4 go or Joe disappeared basically and they closed down
5 that office, then they brought the files back to the
6 home in Coral Springs, so they continued trying to make
7 it run there for that last month, maybe it was even
8 less than a month.

9 Q How about the preparation and establishment
10 of the website for that company?

11 A Joe did that.

12 Q Joe did all of that?

13 A Yeah, he did all of the website design.

14 FURTHER DIRECT EXAMINATION

15 BY MS. HOLLAND

16 Q Did your company provide any consulting
17 services to Boston Logistics?

18 A For them as well, sure. I was one that
19 helped them get the DOT bond and everything secured.

20 Q And so do you have any idea how much in
21 consulting fees they paid you?

22 A There was never enough money, maybe over the
23 span of those two or three months, maybe a thousand,
24 two thousand max, maybe.

25 Q Did they hire any other consultants that you

000226

1 Q Have you heard of a company called Global
2 Direct Shipping?-----

3 A I've heard of them, yes.

4 Q How have you heard of them?

5 A They're listed as one of the competitors that
6 we used to go up against on One, Two, Three Movers.
7 That's a relocation portal website. They were listed
8 as one of the other ten companies that does
9 international shipping.

10 Q Did you ever have any personal communications
11 with or dealings with anyone from Global Direct?

12 A No, never did business with them.

13 Q Have you heard of a company called Ship X?

14 A Yes. I've seen them listed as well as
15 competitors on relocation portal websites.

16 Q Have you had any direct communication with
17 anybody from Ship X.

18 A No. Except for Moving Services, we didn't
19 deal with any of the other brokers. We didn't need to.
20 By that time we were so big and we could work directly
21 with anybody we wanted to. I even had a visit in our
22 heyday from MSC, because I was trying to get contracts
23 directly from MSC, without being a licensed
24 intermediary and the rep actually came out and we spoke
25 a little bit about the tariffs and things like th.

000227